

Housing Affordability in the Czech Republic: Drivers, Dynamics, and Policy Options

Esha Chhabra

SIP/2026/036

IMF Selected Issues Papers are prepared by IMF staff as background documentation for periodic consultations with member countries. It is based on the information available at the time it was completed on March 4, 2026. This paper is also published separately as IMF Country Report No 26/71.

2026
APR



IMF Selected Issues Paper
European Department

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Prepared by Esha Chhabra

Authorized for distribution by Vincenzo Guzzo
April 2026

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ABSTRACT: Worsening housing affordability in the Czech Republic reflects a structural imbalance between supply and demand, where income-driven demand has persistently outpaced construction capacity constrained by slow permitting processes and municipal fragmentation. Using a structural vector autoregression (SVAR) framework, this paper quantifies the contributions of demand, supply, and monetary shocks to movements in Czech house prices. The findings show that while monetary policy can moderate cyclical pressures, achieving sustainable affordability requires structural reforms that address rigidities in the construction sector, scale affordable housing development, and modernize property taxation.

RECOMMENDED CITATION: Chhabra, Esha. Housing Affordability in the Czech Republic: Drivers, Dynamics, and Policy Options. IMF Selected Issues Paper (SIP/2026/36). Washington, D.C.: International Monetary Fund

JEL Classification Numbers:	E52, H71, R21, R31
Keywords:	Housing affordability, house prices, housing supply, structural vector autoregression, macroprudential policy, structural reform
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SELECTED ISSUES PAPERS

Housing Affordability in the Czech Republic: Drivers, Dynamics, and Policy Options

Czech Republic

Esha Chhabra¹

¹ The author would like to thank Robert Beyer, Lukas Boer, Moataz El Said, Thomas Gade, Vincenzo Guzzo, Hana Hejlova, Miroslav Plasil, Josefine Quast, and seminar participants at the Czech National Bank for helpful comments.



CZECH REPUBLIC

SELECTED ISSUES

March 4, 2026

Approved By
European Department

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CONTENTS

HOUSING AFFORDABILITY IN THE CZECH REPUBLIC: DRIVERS, DYNAMICS, AND POLICY OPTIONS _____ 2

A. Introduction	2
B. Structural Drivers of Housing Market Dynamics	4
C. Decomposition of House Price Movements	6
D. Policy Options	8
E. Conclusion	11

BOX

1. Methodological Framework for House Price Decomposition	8
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FIGURES

1. Measures of Housing Affordability	3
2. Income Growth and Credit Conditions	4
3. Construction and Housing Supply	5
4. Drivers of House Price Growth	7
5. Municipalities in the Czech Republic	10
6. Property Taxation in the Czech Republic	11

REFERENCES

References	13
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HOUSING AFFORDABILITY IN THE CZECH REPUBLIC: DRIVERS, DYNAMICS, AND POLICY OPTIONS

Worsening housing affordability in the Czech Republic reflects a structural imbalance between supply and demand, where income-driven demand has persistently outpaced construction capacity constrained by slow permitting processes and municipal fragmentation. Using a structural vector autoregression (SVAR) framework, this paper quantifies the contributions of demand, supply, and monetary shocks to movements in Czech house prices. The findings show that while monetary policy can moderate cyclical pressures, achieving sustainable affordability requires structural reforms that address rigidities in the construction sector, scale affordable housing development, and modernize property taxation.

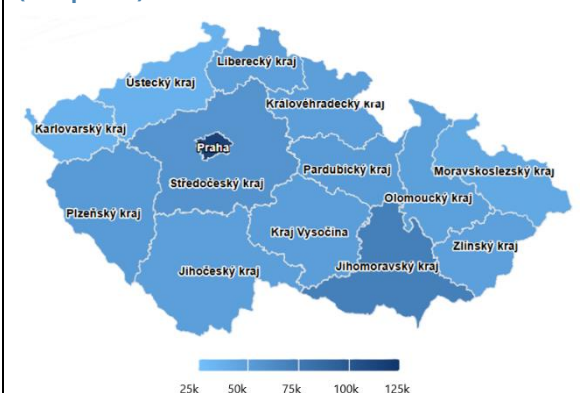
A. Introduction

1. Housing affordability is macro-critical because it directly affects household consumption, savings behavior, and financial stability. When housing costs outpace income growth, the effects propagate across multiple channels: a rising share of household budgets absorbed by housing costs compresses non-housing consumption, particularly for younger and credit-constrained households; rising household debt burdens increase financial vulnerabilities; affordability barriers in high-productivity urban centers impede labor mobility and constrain efficient resource allocation; and exclusion of younger and lower-income households from homeownership entrenches wealth inequality.

2. The Czech Republic has experienced one of the sharpest deteriorations in housing affordability in the European Union. House prices rose at an average annual rate of nearly 9 percent between 2013 and 2021, accelerating sharply during the pandemic-era boom before moderating during the 2022–2023 monetary tightening cycle. The market entered a recovery phase in late 2024, with house prices accelerating to 10 percent year-on-year in 2025Q1 and nominal prices surpassing their 2022 peak by late 2025 (Figure 1).

3. These price increases have led to a marked deterioration in housing affordability since 2015. The price-to-income ratio rose strongly through the late 2010s before surging around 2021–22. While this ratio has eased from its peak, it remains well above pre-pandemic levels, indicating sustained pressure on household budgets. Housing costs absorb approximately one-quarter of disposable income on average and close to half for lower-income households, underscoring severe distributional strain (Figure 1). The affordability crisis is most acute in Prague, which consistently ranks among the least affordable

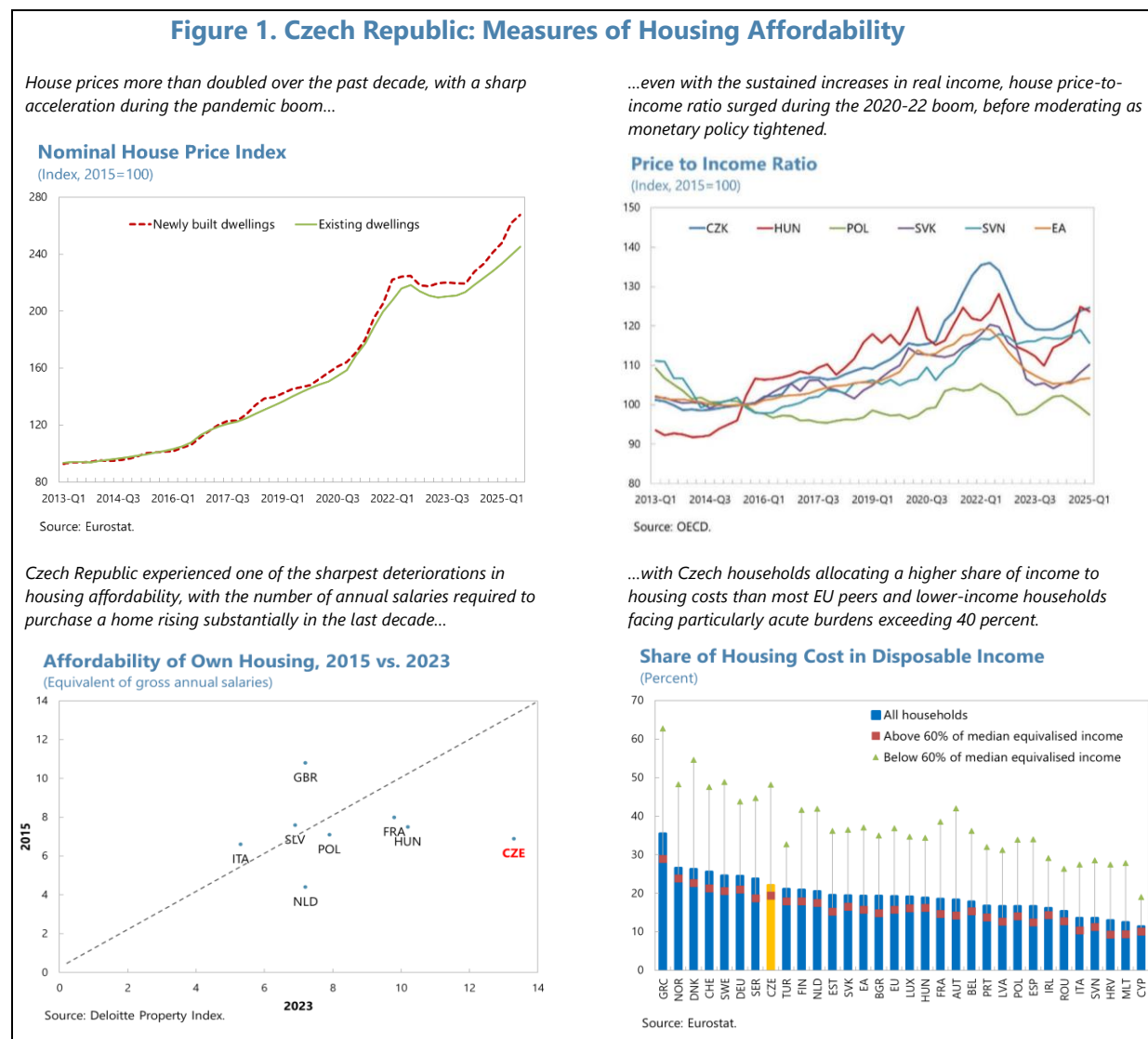
Average purchase prices of apartments (CZK per m²)



Source: Czech Statistical Office (CZSO).

capitals in Europe, requiring 13–15 years of gross annual income to purchase a standardized 70-square-meter dwelling (Deloitte 2025).

4. Housing market dynamics also have implications for financial stability given the concentration of bank exposures in property-related lending. Housing loans account for close to half of total bank credit to the private non-financial sector, and the share has been rising steadily since 2014 (CNB 2025b). While financial stability risks are currently contained—supported by prudent credit standards, low default rates, and well-capitalized banks—the concentration warrants continued monitoring.



5. This paper analyzes the dynamics underlying the Czech Republic's worsening housing affordability. First, it examines the fundamental drivers of demand, including income growth, credit conditions, and demographic pressures—alongside the structural rigidities constraining supply, particularly lengthy permitting processes and inefficiencies in the construction sector. Second, it

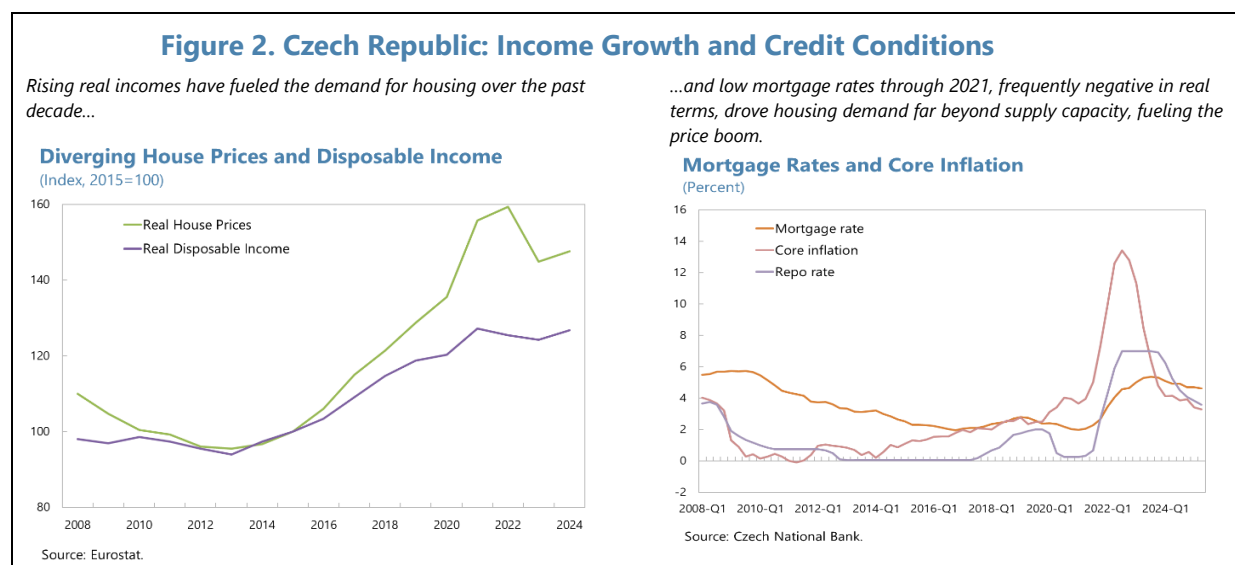
employs a Structural Vector Autoregression (SVAR) model to decompose historical house price movements, quantifying the relative contributions of demand shocks, monetary policy transmission, and supply constraints across different phases of the housing cycle. Finally, it offers a comprehensive policy framework that addresses both cyclical demand pressures and supply-side rigidities.

B. Structural Drivers of Housing Market Dynamics

The persistence of high housing prices in the Czech Republic is rooted in a structural mismatch where robust, income-backed demand meets a rigid and underperforming supply side.

Demand-Side Drivers

6. Housing demand strengthened markedly over 2013–21, driven by sustained real income gains and favorable labor market conditions. Šustek and Zapletalová (2023) estimate that rising real household incomes—and expectations of continued growth—accounted for 32 percentage points of the 78 percent increase in nominal house prices during this period (with some temporary slowdown during the monetary tightening of 2022–23). Persistently low unemployment (below 4 percent over the past decade) reinforced income security and borrowing capacity. The COVID-19 pandemic created a temporary but powerful acceleration of housing demand through simultaneous shifts in preferences and financial capacity. Remote work arrangements increased demand for larger living spaces, while pandemic-related consumption restrictions allowed households to accumulate savings for down payments precisely when mortgage rates reached historic lows (Figure 2). With limited alternative investment options, both households and institutional investors increasingly turned toward residential real estate in search of higher yields, further intensifying demand pressures.



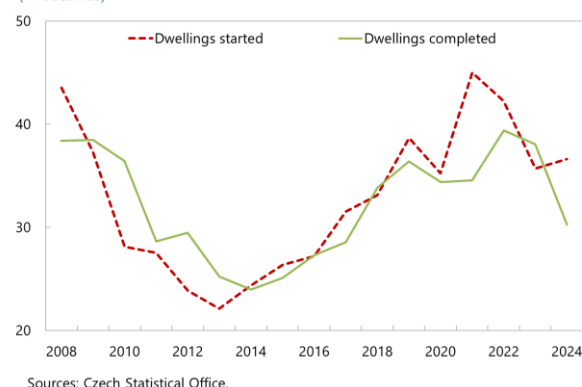
7. Demographic pressures further intensified housing demand. Net migration has remained positive for over a decade, and the arrival of close to 400,000 Ukrainian refugees under temporary protection after 2022—the highest per-capita share in the EU at 36 per 1,000 people as of November 2025 (Eurostat 2025)—placed additional pressure on an already constrained housing market.

Concurrently, internal migration toward Prague and other urban centers, combined with rising single-person household formation, increased demand for rental units where supply constraints were most binding. The post-pandemic recovery in tourism has further tightened the rental market, as property owners convert long-term rental units into short-term vacation accommodations.

Figure 3. Czech Republic: Construction and Housing Supply

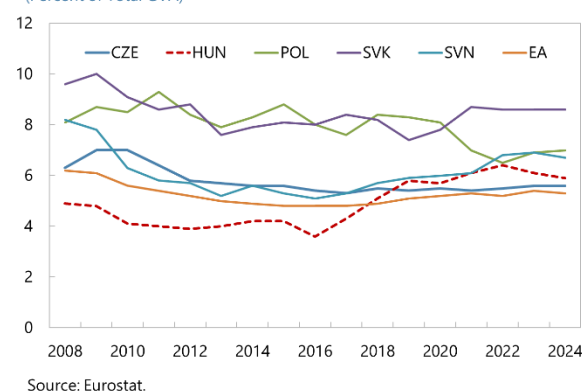
Residential construction recovered after 2014 but remains below levels needed to meet demand, widening the supply gap...

Residential buildings: Dwellings started and completed
(Thousands)



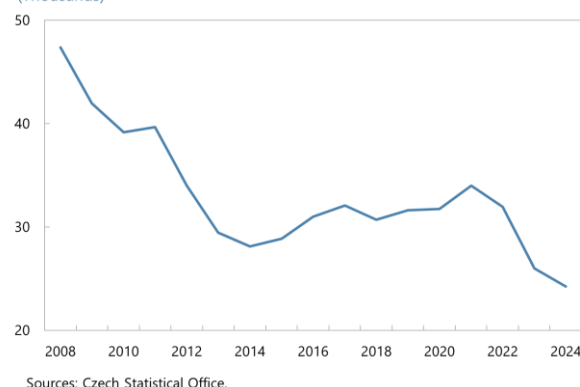
GVA in the construction sector has stagnated at 5 percent of total GVA since 2008...

Construction: Gross Value Added
(Percent of Total GVA)



...with the protracted delays in issuing permits adding to the delays in increasing the housing stock.

Permits Issued for Residential Buildings
(Thousands)



...while productivity has declined and costs have increased.

Construction: Labour Productivity and Unit Labor Costs
(Index, 2015=100)



Supply-Side Rigidities

8. Housing supply has failed to keep pace with the intensifying demand pressures. The construction sector contracted sharply after the global financial crisis (GFC), with new residential construction declining steeply between 2008 and 2013. Despite recovering after 2014, construction activity remains below pre-crisis levels, constraining the sector's ability to address accumulated supply shortfalls (Figure 3). Moreover, supply has shown limited responsiveness to market signals, with new development not concentrated in areas where prices are highest and shortages most severe (OECD 2021). This spatial mismatch is particularly costly for fast-growing mid-sized cities, where

inadequate housing supply holds back the concentration of economic activity needed to drive productivity gains (Ayerst and others, 2025).

9. The construction sector's stagnation reflects both structural inefficiencies and regulatory constraints that impede housing supply responses to rising demand. The sector's share of gross value added has stagnated around 5 percent for the past decade. Labor productivity remains below pre-crisis levels despite unit labor costs nearly doubling since 2015, compressing profit margins and discouraging new investment (Figure 3). These cost pressures are compounded by protracted permitting delays, which can extend standard residential project timelines from months to several years, raising holding costs and constraining supply.

10. Beyond construction sector constraints, the provision of social and affordable housing remains severely underdeveloped. Rental housing accommodated close to 22 percent of Czech households in 2021, but the supply of affordable options remains limited—subsidized social rental units constituted less than 4 percent of the dwelling stock (OECD 2025). The Czech Housing Strategy (Koncepcie 2021+) outlines a comprehensive framework to address structural affordability and quality gaps through expanded social, affordable, and municipal housing (Földi 2025). However, implementation is hindered by significant administrative fragmentation at the local level. The 6,258 municipalities—with an average of about 1,700 inhabitants per municipality, the smallest in the OECD—create a fragmented municipal structure that limits economies of scale and undermines coordinated policy implementation.

C. Decomposition of House Price Movements

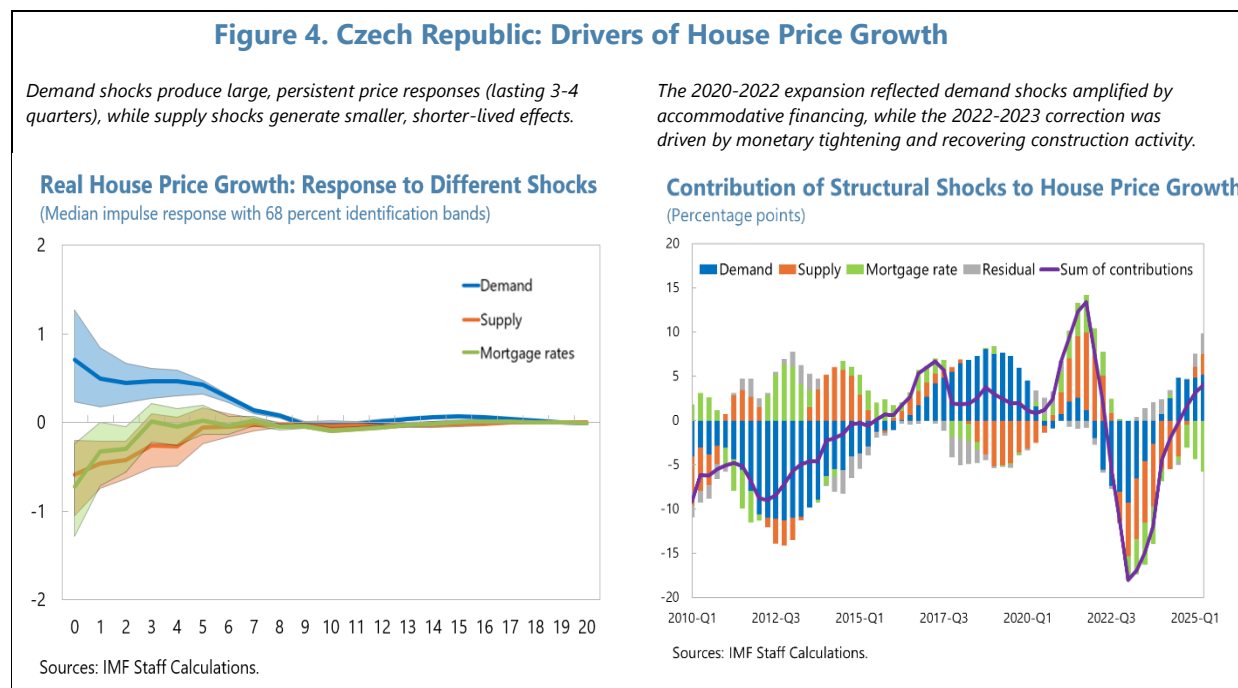
11. A structural vector autoregression (SVAR) is estimated to disentangle these drivers and decompose Czech house price movements into supply, demand, and monetary policy shocks using a sign-restricted identification strategy. The model employs quarterly data from 2005 to 2025 across four key variables: real house prices, construction activity (proxied by the first principal component of real residential investment and dwellings completed), real disposable income, and real mortgage rates (Box 1).

12. The decomposition confirms the dominance of demand shocks during the pre-pandemic boom, magnified by inelastic supply, and the central role of monetary policy in driving the subsequent correction:

- **2010–2015 (Post-GFC Adjustment):** The collapse in household purchasing power and reduced credit availability drove house prices down, more than offsetting the modest upward pressure from lower construction activity. The prolonged demand weakness, persisting even after the broader economic recovery began in 2013, illustrates the persistent "scarring effects" common in housing markets following major financial disruptions.
- **2015–2020 (Gradual Recovery):** Positive demand shocks drove steady price growth, supported by rising real incomes, improving labor market conditions, and mortgage rates falling below 3 percent by 2014. Supply-side contributions indicate that construction activity recovered during

this period but not sufficiently to offset mounting demand pressures, underscoring the structural constraints that would later prevent a meaningful adjustment during the pandemic boom.

- **2020–2022 (Pandemic Boom):** Supply constraints were the dominant driver of price growth during this period, as construction activity stalled amid labor shortages, supply-chain disruptions, and persistent permitting delays. Accommodative monetary policy (reflected in the CNB maintaining near-zero rates through 2021) further amplified the pressures. Pandemic-induced shifts in housing preferences for larger spaces and accumulated household savings provided additional positive demand contributions.



- **2022–2023 (Monetary Correction):** A stabilization in house prices occurred during this period, driven almost entirely by monetary policy tightening. The CNB's aggressive rate hikes—raising the policy rate from 0.25 to 7 percent—transmitted quickly to mortgage rates, dampening borrowing capacity and housing demand. The decomposition confirms that the resulting correction in prices was predominantly policy-induced rather than reflecting any fundamental easing in supply-side constraints.
- **2024–2025 (Demand-Led Recovery):** Price growth resumed as demand turned positive again, driven by recovering household confidence and gradually easing financing conditions following the CNB's shift toward a rate-cutting cycle. Supply contributions remain minimal throughout this period, reinforcing the conclusion that structural constraints in housing construction continue to persist.

13. This analysis points to clear policy priorities for achieving sustainable improvements in housing affordability. First, monetary policy transmission to house prices is effective but its influence is primarily cyclical and cannot address structural rigidities in housing supply. Second,

supply shocks contributed minimally throughout the sample period, confirming that Czech housing supply remains structurally unresponsive to price signals due to permitting bottlenecks, construction sector inefficiencies, and municipal coordination failures. Third, as demand is already driving the current recovery while supply remains constrained, lasting affordability gains require addressing supply-side rigidities rather than demand support.

Box 1. Methodological Framework for House Price Decomposition

Sign restrictions identify structural shocks by constraining the direction of key impulse responses: a positive housing supply shock lowers real house prices and raises construction activity; a positive housing demand shock raises prices, construction, income, and mortgage rates; and a monetary tightening shock—captured by an increase in real mortgage rates—lowers prices, construction, and income. A Monte Carlo simulation recovers all structural shocks satisfying these restrictions, and the historical decomposition quantifies each shock's contribution to observed house price movements.

The reduced form VAR with four lags is specified as:

$$Y_t = A_0 + A_1 Y_{t-1} + A_2 Y_{t-2} + A_3 Y_{t-3} + A_4 Y_{t-4} + u_t$$

where $Y_t = [p_t, q_t, y_t, r_t]'$ contains real house prices (p_t), construction activity (q_t), real disposable income (y_t), and real mortgage rates (r_t). The reduced-form residuals u_t are related to the vector of structural shocks $\varepsilon_t = [\varepsilon_t^{\text{supply}}, \varepsilon_t^{\text{demand}}, \varepsilon_t^{\text{mortgage}}, \varepsilon_t^{\text{residual}}]'$ through:

$$u_t = B\varepsilon_t$$

where B is the 4x4 impact matrix satisfying $E[\varepsilon_t \varepsilon_t'] = I$ (orthonormalized shocks) and $E[u_t u_t'] = BB' = \Sigma_u$ (reduced-form covariance matrix). The system identifies three shocks (supply, demand, mortgage rate) plus a fourth shock capturing residual variation that is not uniquely attributable to these mechanisms. Following Towbin and Weber (2015), structural shocks are identified through contemporaneous sign restrictions on impulse responses:

	House Prices	Construction	Disposable Income	Mortgage Rate
Demand shock	+	+	+	+
Supply shock	-	+	..	..
Mortgage rate shock	-	-	-	+

Note: The table shows the sign restrictions of a positive demand shock (an increase in the demand for housing), a positive supply shock (an increase in supply of housing), and a positive mortgage rate shock (an increase in mortgage rates).

+ Positive response; - Negative response; .. Unrestricted

D. Policy Options

14. Addressing the Czech Republic's worsening housing affordability will require a comprehensive strategy combining demand-side moderation with ambitious supply-side reforms. Targeted measures can help curb excessive demand and speculative activity without resorting to broad-based monetary tightening. However, these demand-side tools would need to be complemented by far-reaching supply-side interventions—such as streamlining and digitalizing the

permitting processes, expanding affordable rental housing, reforming fiscal transfers to municipalities, and modernizing property taxation—to tackle the structural shortage of homes.

Macroprudential Measures

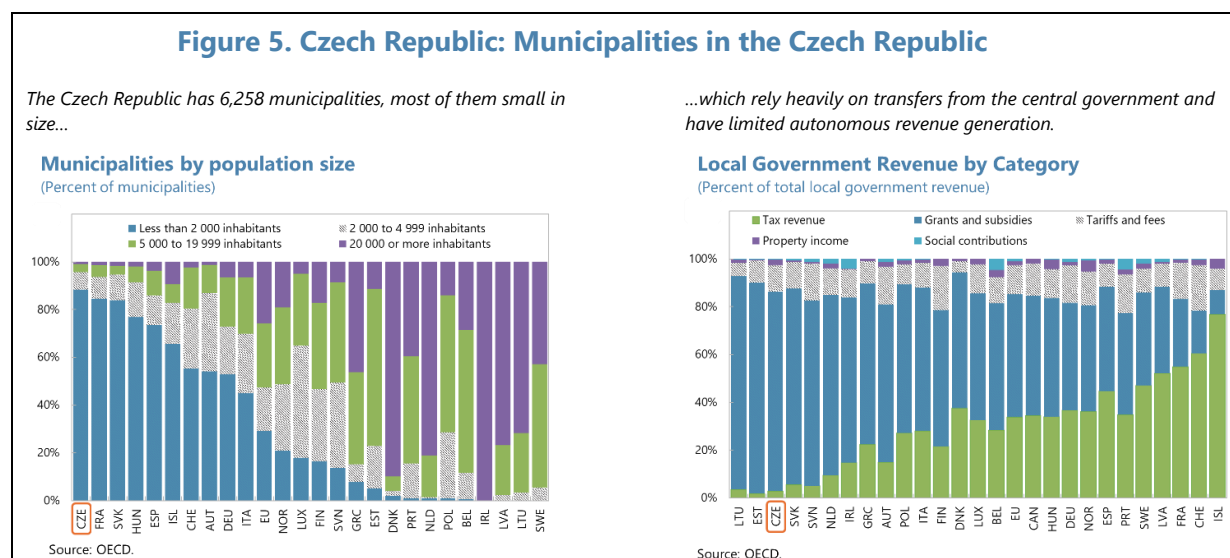
15. Careful calibration of macroprudential tools to target speculation without locking out first-time buyers is important. The introduction of recommended lower limits on LTV (70 percent) and DTI (7) for investment mortgages—defined as loans for third or subsequent residential properties or buy-to-let properties—effective April 2026, aims to preventively mitigate emerging risks while maintaining the more accommodative binding limits for owner-occupied loans (80 percent LTV, or 90 percent for borrowers under 36). While the 70 percent LTV limit is broadly in line with—or tighter than—those applied in other EU countries that differentiate by loan purpose, such as Greece, Lithuania and Slovenia (Durante and others, 2025); however, the Czech definition of investment lending is notably broader, as most of these jurisdictions apply tighter limits from the second and subsequent property. As mortgage credit growth accelerates, close monitoring of compliance with these recommended limits would help ensure their effectiveness, including by considering tightening the definition to cover second or subsequent residential properties. Regionally differentiated limits for high-demand metropolitan areas (particularly Prague and Brno) could further help address localized overheating pressures without unduly constraining credit availability in regions facing lower affordability strain.

Supply-Side Reforms

16. Permitting reform under the 2024 Building Act marks a critical step toward alleviating supply constraints by consolidating previously separate zoning and construction approval processes into a unified ‘one-stop’ system. The December 2025 amendments (pending Parliamentary approval) which centralize permitting under state authority and fast-track large housing projects, should help address chronic permit processing delays. Fully realizing the Act's potential would require resolving the remaining technical implementation challenges especially around digitalization and enforcing processing timelines to ensure predictable and transparent outcomes.

17. Complementing these regulatory reforms, new financing instruments are expanding the resources to scale affordable housing development. The State Investment Support Fund launched its program in April 2024, allocating CZK 7 billion through 2026 for grants and low-interest loans, followed in April 2025 by the National Development Bank's program, which provides CZK 2.25 billion to support large-scale projects that leverage private capital (Földi 2025, OECD 2025). The European Investment Bank Group's decision to double its EU-wide housing commitment to EUR 6 billion for 2026 further broadens financing opportunities for Czech municipalities and housing providers (EIB 2025). Translating these resources into tangible housing outcomes will require strengthening municipal, administrative, and technical capacity to develop and implement projects effectively. Furthermore, strengthening transport infrastructure to improve connectivity between regions facing affordability pressures and neighboring municipalities can also help to expand effective housing supply.

18. Even with adequate financing and improved technical capacity, misaligned fiscal incentives can weaken municipal responsiveness to housing needs. Under the current revenue allocation framework, where population size is the primary determinant of transfer receipts, municipalities compete for residents in ways that can encourage sprawling housing developments and inefficient land use (OECD 2021). This population-based formula leaves smaller municipalities with limited resources for housing development. Restructuring intergovernmental transfers to reward investment in housing construction and improvements in public service provision could incentivize more efficient residential development, while reducing the competitive pressures that impede intermunicipal cooperation. Such reforms would be especially important given that severe administrative fragmentation leaves many small municipalities lacking the technical capacity to address housing challenges independently (Figure 5).

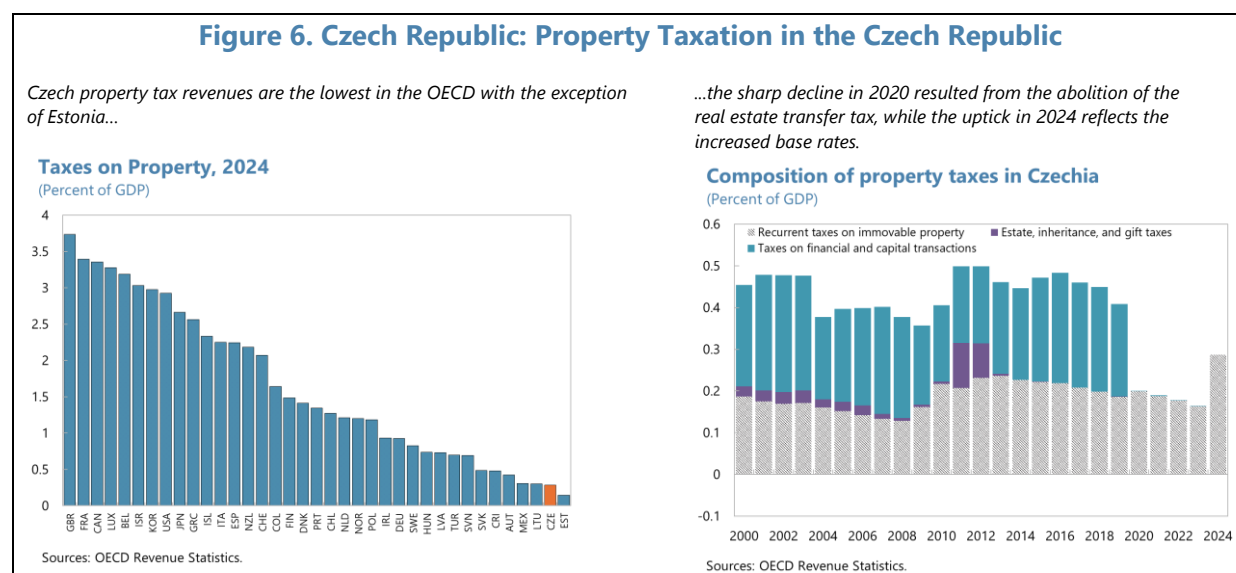


Property Tax Reform

19. Transitioning to a value-based property tax system will help dampen speculative demand, mobilize underutilized housing stock, and generate revenue for affordable housing investment. The current area-based system fails to penalize land hoarding, undertaxes high-value properties, and produces regressive outcomes, generating just 0.3 percent of GDP in revenue, among the lowest in the EU. The recent reform (effective January 2024), which increased base rates by about 80 percent and introduced inflation indexation, represents progress toward more sustainable revenue generation. However, indexation alone is insufficient in an environment where house price growth persistently exceeds economy-wide inflation. A value-based system would fundamentally address these structural weaknesses by linking liabilities to actual property values, raising the holding costs of vacant properties and land banks, and incentivizing owners to bring idle assets to market or pursue development. Higher-yielding, value-based property taxation would give Czech municipalities a more autonomous revenue source that could be dedicated to affordable housing development (Figure 5).

20. Complementary tax reforms could further strengthen incentives to bring underutilized housing onto the market. With 16 percent of Czech dwellings vacant as of 2021 (Census 2021),

targeted taxation in high-demand urban areas could encourage owners to sell or lease properties rather than keep them idle. The abolition of the 4 percent tax on real estate transactions in 2020 almost halved housing-related tax revenue (Figure 6). While the measure was introduced to support home ownership and aid the construction sector during the pandemic, reinstating it as market conditions normalize merits consideration. More broadly, tax policy reforms should eliminate distortions favoring ownership over rental tenure. Possible measures include limiting capital gains exemptions on primary residences, removing exemptions for secondary homes, and continuing to gradually phase out mortgage interest relief (OECD 2025). Such reforms would align tax incentives more closely with efficient land use, reduce speculative holding, and support the expansion of professionally managed rental housing.



E. Conclusion

21. Alleviating housing affordability pressures points to a need for a coordinated reform strategy that delivers benefits across multiple time horizons, with near-term actions laying the groundwork for deeper structural changes. The empirical analysis confirms that while monetary policy can moderate demand-driven price cycles, lasting improvements in affordability depend on addressing structural supply-side rigidities. Persistent constraints—compounded by demographic pressures from net migration, shrinking household sizes, and ongoing urbanization—mean that without sustained policy action, affordability strains will remain acute. Achieving meaningful and durable progress will require a sequenced approach: short-term measures (operationalizing the 2024 Building Act and implementing differentiated macroprudential limits), medium-term institutional reforms (expanding affordable housing and restructuring municipal fiscal incentives), and long-term structural changes (transitioning to a value-based property tax system). Critically, these reforms reinforce each other: permitting reform unlocks supply capacity, value-based property taxes mobilize vacant housing and discourage speculative holding, while fiscal restructuring aligns municipal incentives with housing development. Beyond domestic affordability, these supply-side reforms matter for broader economic performance. Analysis suggests that domestic structural reforms in

CESEE economies could raise productivity by over 6 percent, but without adequate housing in the cities and regions where economic activity is concentrating, the Czech Republic risks losing skilled workers to countries that address these constraints more effectively (Ayerst and others, 2025).

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